

20 Jul 2026 05:45:20 ET | 11 pages

Siemens (SIEGn.DE)

EDA software in focus following Kimi K3

CITI'S TAKE

Suppliers of EDA software shares fell on Friday after reports ([Bloomberg](#), 17th July) that the Kimi K3 AI model designed a semiconductor chip using open-source tools, bypassing traditional EDA software. The breakthrough appears to be on mature chip technology, rather than current designs, suggesting no immediate disruption. Nonetheless, we'd say that EDA software has been seen at the least disruptable end of the software scale, given how embedded it is in customer processes, with intricate process design kits for design, verification, and simulation; we expect this process to become ever more embedded in customer workflows as chip complexity increases, with AI agents ultimately likely to use EDA tools rather than displace. With Siemens valuation relative to peers having recently widened, we continue to see a SOTP discount that arguably means the full EDA valuation is not reflected in the Siemens share price in any case. We remain Buyers.

EDA software (Electronic Design Automation) in context - We estimate that Siemens has about 15% market share in EDA, behind Synopsys and Cadence. Siemens's ~€2.1bn EDA revenue is equivalent to ~11% of DI divisional sales, or 4% of group sales ex-Healthineers.

Buy

Price (20 Jul 26 09:44)	€266.00
Target price	€335.00
Expected share price return	25.9%
Expected dividend yield	2.0%
Expected total return	28.0%
Market Cap	€208,012M
	US\$237,893M

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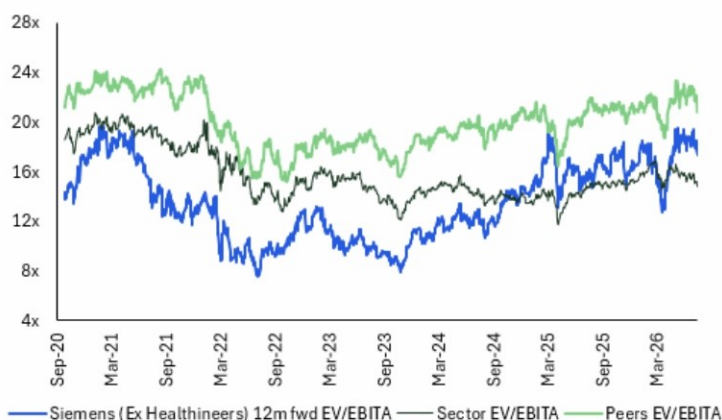
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Figure 1. Siemens (ex-Healthineers) EV/EBITA vs Sector vs Peers



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Source: Citi Research, DataStream

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Figure 2. We estimate EDA software at ~€2.1bn for Siemens

EUR bn	Pro-forma inc. mid term revenue		Siemens products	Key competitor product	Siemens position
	2026e	synergies			
PLM	1.1	1.1	Teamcenter	PTC Windchill, Dassault Enovia	#2 behind PTC
CAD	1.1	1.1	SolidEdge and NX	Dassault CATIA, AutoCAD	#3 behind Dassault, Autodesk
CAH	0.3	0.3	NX	CATIA, Fusion 360	#3 behind Dassault, Autodesk
Digital Manufacturing	0.3	0.3	Tecnomatix	Dassault DELMIA	#1
Simulation	2.2	2.8	Simcenter, CD-adapco	Ansys	#2 behind Synopsys/Ansys
PLM	4.9	5.9			
EDA	2.1	2.1	Mentor Graphics		#3 behind Synopsys, Cadence
Other	0.1	0.1	Mendix, Mindsphere		
Total	7.1	7.7			

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Source: Citi Research

Siemens

Valuation

We set our target price at EUR335 using SOTP using current market values for stakes in subsidiary companies, applying peer average 2027E EV/EBITA to other divisions, financial services at EUR3.1bn and applying 12x PE for other minority interests.

Risks

We identify the following risks that could prevent the shares from achieving our target price:

Competition: Some of Siemens' businesses are becoming more competitive, including through the rise of emerging markets competition. Increased capacity and unusual pricing behavior by new competitors may present a risk to future earnings.

Future acquisition risk: As with many industrial companies, Siemens augments organic growth with acquisitions. While some of Siemens' acquisitions look to have been value creating, it is too early to judge others. Returns from future deals are hard to predict and so estimating returns from cash deployment through future M&A is a challenge.

Project execution: Siemens' Mobility divisions includes project-related businesses where Siemens incurs project risk.

Cyclical and macro: Siemens' end markets are largely cyclical. Siemens' portfolio is very broad, and in general a slowing or below-trend global GDP environment is negative for organic growth.

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Appendix A-1

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Siemens (SIEGn.DE)
Ratings and Target Price History
Fundamental Research

Analyst: Martin Wilkie



Date	Rating	Target Price	Closing Price
1 10-Aug-23 15:29:29	1	*190.00	139.46
2 17-Nov-23 02:34:39	1	*200.00	148.46
3 19-Feb-24 00:00:00	1	*215.00	169.58
4 16-May-24 19:16:12	1	*210.00	175.00

*Indicates Change

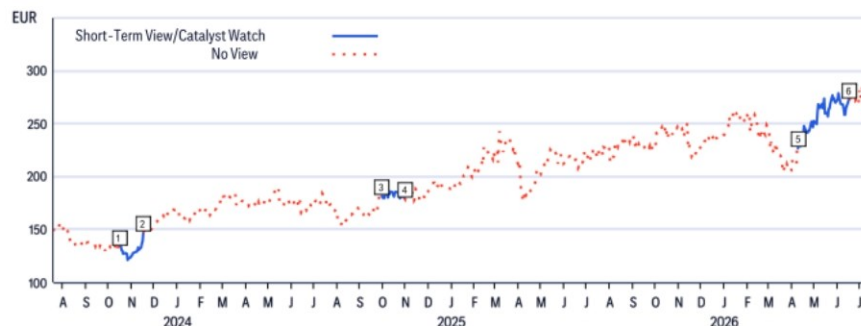
Date	Rating	Target Price	Closing Price
5 09-Sep-24 00:01:14	1	*200.00	162.60
6 01-Oct-24 01:59:35	1	*210.00	179.86
7 31-Oct-24 02:48:31	*--	--	178.40
8 25-Apr-25 00:00:00	*1	*245.00	206.80

Date	Rating	Target Price	Closing Price
9 15-May-25 13:46:19	1	*260.00	221.85
10 12-Aug-25 13:00:00	1	*272.00	231.10
11 24-Nov-25 00:05:00	1	*290.00	223.00
12 12-Feb-26 13:21:21	1	*335.00	257.00

Rating/target price changes above reflect Eastern Time

Siemens (SIEGn.DE)
Short-Term View/Catalyst Watch Research

Analyst: Martin Wilkie



Date	Action	Expected Direction	Duration	Closing Price
1 16-Oct-23 20:05:00	Add CW	Upside	30 Days	133.90
2 16-Nov-23 06:39:53	Remove CW	Upside	30 Days	146.82

CW - Catalyst Watch, STV - Short-Term View

Date	Action	Expected Direction	Duration	Closing Price
3 30-Sep-24 21:59:35	Add STV	Upside	90 Days	181.34
4 30-Oct-24 22:48:30	Remove STV	Upside	90 Days	179.48

Date	Action	Expected Direction	Duration	Closing Price
5 09-Apr-26 08:20:46	Add CW	Upside	90 Days	226.75
6 16-Jun-26 09:31:31	Remove CW	Upside	90 Days	273.05

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
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